

SENATE BILL No. 185

DIGEST OF INTRODUCED BILL

Citations Affected: IC 7.1-3-18.5; IC 7.1-5-10-23; IC 7.1-7-5-7; IC 35-45-6-1; IC 35-46.

Synopsis: Alcohol and tobacco matters. Provides that a person may not sell a tobacco product or electronic cigarette at wholesale without a tobacco sales certificate (certificate). Provides that the alcohol and tobacco commission shall not issue a certificate to a retail location where a certificate was revoked within one year prior to the application. Changes the time a certificate is valid from the date of issuance from three years to one year. Provides for the suspension of a certificate if the certificate holder's employees violate employee identification requirements three or more times in one year. Prohibits the sale and distribution of e-liquids manufactured in or imported from a foreign adversary. Adds the sale of alcohol without a permit to the violations which may constitute racketeering activity. Changes the infraction of the habitual illegal sale of tobacco products from six violations in a year to three violations in a year.

Effective: July 1, 2026.

Alting, Walker K

January 5, 2026, read first time and referred to Committee on Public Policy.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

SENATE BILL No. 185

A BILL FOR AN ACT to amend the Indiana Code concerning alcohol and tobacco.

Be it enacted by the General Assembly of the State of Indiana:

1 SECTION 1. IC 7.1-3-18.5-1, AS AMENDED BY P.L.32-2019,
2 SECTION 11, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]: Sec. 1. (a) A person may not sell or otherwise
4 distribute in exchange for consideration a tobacco product or electronic
5 cigarette at retail **or wholesale** without a valid tobacco sales certificate
6 issued by the commission.

7 (b) A certificate may be issued only to a person who owns or
8 operates at least one (1) of the following:

9 (1) A premises consisting of a permanent building or structure,
10 **that does not contain sleeping or living quarters**, where the
11 tobacco product or electronic cigarette is sold or distributed.

12 (2) A premises upon which a cigarette vending machine is
13 located.

14 SECTION 2. IC 7.1-3-18.5-2, AS AMENDED BY P.L.107-2024,
15 SECTION 1, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
16 JULY 1, 2026]: Sec. 2. (a) A person who desires a certificate must
17 provide the following to the commission:



- 1 (1) The applicant's name and mailing address and the address of
- 2 the premises for which the certificate is being issued.
- 3 (2) Except as provided in section 6(c) of this chapter, a fee of two
- 4 hundred dollars (\$200).
- 5 (3) The name under which the applicant transacts or intends to
- 6 transact business.
- 7 (4) The address of the applicant's principal place of business or
- 8 headquarters, if any.
- 9 (5) The statement required under section 2.6 of this chapter.
- 10 (6) If the applicant is applying for a new certificate under section
- 11 3.2 of this chapter, a copy of each of the following:
- 12 (A) If the new ownership of the business is a business entity,
- 13 the articles of incorporation, articles of organization, or any
- 14 other formation documents of the business entity.
- 15 (B) If the new ownership of the business is an individual,
- 16 either:
- 17 (i) the sales or purchase agreement; or
- 18 (ii) an affidavit signed by the applicant concerning the sale
- 19 or purchase, on a form prescribed by the commission, that
- 20 includes the name and address of the seller and purchaser.
- 21 (C) The certificate held by the previous ownership of the
- 22 business.
- 23 (b) A separate certificate is required for each location where the
- 24 tobacco products or electronic cigarettes are sold or distributed. A retail
- 25 establishment may not hold more than one (1) active tobacco sales
- 26 certificate for a retail location at any time. **The commission shall not**
- 27 **issue a certificate to a retail location where a tobacco sales**
- 28 **certificate was revoked within one (1) year prior to the date of the**
- 29 **application.**
- 30 (c) A certificate holder shall conspicuously display the holder's
- 31 certificate on the holder's premises where the tobacco products or
- 32 electronic cigarettes are sold or distributed.
- 33 (d) Any intentional misstatement or suppression of a material fact
- 34 in an application filed under this section constitutes grounds for denial
- 35 of the certificate.
- 36 (e) A certificate may be issued only to a person who meets the
- 37 following requirements:
- 38 (1) If the person is an individual, the person must be at least
- 39 twenty-one (21) years of age.
- 40 (2) The person must be authorized to do business in Indiana.
- 41 (3) The person has not had an interest in a certificate revoked **or**
- 42 **suspended** by the commission for that business location within



the preceding one (1) year.

(f) The fees collected under this section shall be deposited in the enforcement and administration fund under IC 7.1-4-10.

SECTION 3. IC 7.1-3-18.5-2.4, AS ADDED BY P.L.107-2024, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 2.4. (a) Subject to available resources, the commission shall not issue a tobacco sales certificate, except as otherwise authorized in this title and subject to the other restrictions contained in this title, to the following persons:

(1) A person who does not have lawful status (as defined in IC 9-13-2-92.3).

(2) A person who has been convicted within five (5) years before the date of application of:

(A) a federal crime having a sentence of at least one (1) year;

(B) a Level 1, Level 2, Level 3, Level 4, or Level 5 felony; or

(C) a crime in a state other than Indiana having a penalty equal to the penalty for an Indiana Level 1, Level 2, Level 3, Level 4, or Level 5 felony.

However, this subdivision does not apply to a conviction that has been expunged under IC 35-38-9.

(3) A person who does not meet at least one (1) of the following descriptions:

(A) The person owns the premises to which the certificate will be applicable.

(B) The person has a valid lease on the premises:

(i) at the time of the application for a certificate; and

(ii) for the duration of the period in which the person sells or distributes in the manner described in section 1 of this chapter.

(C) The person has a franchise agreement with a franchisor:

(i) that owns the premises to which the certificate will be applicable; or

(ii) that has a bona fide lease on the premises for the full period for which the certificate is to be issued.

(4) A person whose place of business is conducted by a manager or agent, unless the manager or agent possesses the same qualifications required for the issuance of a tobacco sales certificate to the person.

(5) A minor.

(6) A person non compos mentis.

(7) A person who has held a permit or certificate under this title and who has had that permit or certificate revoked **or suspended**



1 within one (1) year prior to the date of application for a tobacco
2 sales certificate.

3 (8) A person who has made an application for a permit or
4 certificate of any type under this title which has been denied less
5 than one (1) year prior to the person's application for a tobacco
6 sales certificate unless the first application was denied by reason
7 of a procedural or technical defect.

8 (b) Subsection (a)(5) does not prevent a minor from being a
9 stockholder in a corporation.

10 SECTION 4. IC 7.1-3-18.5-3, AS AMENDED BY P.L.224-2005,
11 SECTION 11, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
12 JULY 1, 2026]: Sec. 3. (a) A certificate issued by the commission
13 under this chapter must contain the following information:

14 (1) The certificate number.

15 (2) The certificate holder's name.

16 (3) The permanent location of the business or vending machine
17 for which the certificate is issued.

18 (4) The expiration date of the certificate.

19 (b) A certificate is:

20 (1) valid for ~~three (3) years~~ **one (1) year** after the date of
21 issuance, unless the commission suspends the certificate; and

22 (2) nontransferable.

23 SECTION 5. IC 7.1-3-18.5-9.2, AS ADDED BY P.L.107-2024,
24 SECTION 4, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
25 JULY 1, 2026]: Sec. 9.2. (a) An employee of a certificate holder must
26 hold a valid:

27 (1) driver's license issued by the state of Indiana or another state;
28 or

29 (2) identification card issued by the state of Indiana, another state,
30 or the United States;

31 to sell tobacco products.

32 (b) An employee must have the employee's driver's license or
33 identification card or a copy of the employee's driver's license or
34 identification card:

35 (1) either:

36 (A) in the employee's possession; or

37 (B) on file with the employee's employer; and

38 (2) upon request, readily available to show to an excise officer or
39 law enforcement;

40 when selling tobacco products.

41 (c) If an employee holds a valid license or identification card as
42 described in subsection (a) but is unable to show the license,



1 identification card, or a copy to an excise officer under subsection (b)
2 because:

3 (1) the employee has left the license, identification card, or copy
4 in another location; or

5 (2) the license, identification card, or copy has otherwise been lost
6 or mislaid;

7 the employee may, within five (5) days of the employee's inability to
8 show the license, identification card, or copy to the excise officer,
9 produce to the excise officer or to the office of the commission
10 satisfactory evidence of a license or identification card issued to the
11 individual that was valid at the time the individual was unable to show
12 the license, identification card, or copy.

13 (d) If an employee who is unable to show a license, identification
14 card, or copy to an excise officer fails to produce satisfactory evidence
15 within five (5) days in the manner described in subsection (c), the
16 commission may impose a civil penalty on the certificate holder under
17 IC 7.1-3-23-3.

18 **(e) If a certificate holder's employees violate this section three**
19 **(3) or more times in a one (1) year period, the commission shall**
20 **suspend the certificate holder's certificate for a period of five (5)**
21 **days.**

22 SECTION 6. IC 7.1-5-10-23, AS AMENDED BY P.L.32-2019,
23 SECTION 16, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
24 JULY 1, 2026]: Sec. 23. It is a Class C infraction for a permittee,
25 **certificate holder**, or an employee or agent of a permittee **or**
26 **certificate holder** to recklessly, knowingly, or intentionally sell, barter,
27 exchange, provide, or furnish another person who is or reasonably
28 appears to be less than forty (40) years of age an alcoholic beverage **or**
29 **tobacco product** for consumption off the licensed premises without
30 first requiring the person to produce:

31 (1) a driver's license;

32 (2) an identification card issued under IC 9-24-16-1 or a similar
33 card issued under the laws of another state or the federal
34 government; or

35 (3) a government issued document;

36 bearing the person's photograph and birth date showing that the person
37 is at least twenty-one (21) years of age.

38 SECTION 7. IC 7.1-7-5-7 IS ADDED TO THE INDIANA CODE
39 AS A **NEW** SECTION TO READ AS FOLLOWS [EFFECTIVE JULY
40 1, 2026]: Sec. 7. (a) As used in this section, "foreign adversary"
41 means a foreign government listed in 15 CFR 791.4.

42 (b) A retailer may not sell and a distributor may not distribute



1 **an e-liquid that is manufactured in or imported from a foreign**
 2 **adversary.**

3 SECTION 8. IC 35-45-6-1, AS AMENDED BY P.L.186-2025,
 4 SECTION 240, IS AMENDED TO READ AS FOLLOWS
 5 [EFFECTIVE JULY 1, 2026]: Sec. 1. (a) The definitions in this section
 6 apply throughout this chapter.

7 (b) "Documentary material" means any document, drawing,
 8 photograph, recording, or other tangible item containing compiled data
 9 from which information can be either obtained or translated into a
 10 usable form.

11 (c) "Enterprise" means:

12 (1) a sole proprietorship, corporation, limited liability company,
 13 partnership, business trust, or governmental entity; or

14 (2) a union, an association, or a group, whether a legal entity or
 15 merely associated in fact.

16 (d) "Pattern of racketeering activity" means engaging in at least two
 17 (2) incidents of racketeering activity that have the same or similar
 18 intent, result, accomplice, victim, or method of commission, or that are
 19 otherwise interrelated by distinguishing characteristics that are not
 20 isolated incidents. However, the incidents are a pattern of racketeering
 21 activity only if at least one (1) of the incidents occurred after August
 22 31, 1980, and if the last of the incidents occurred within five (5) years
 23 after a prior incident of racketeering activity.

24 (e) "Racketeering activity" means to commit, to attempt to commit,
 25 to conspire to commit a violation of, or aiding and abetting in a
 26 violation of any of the following:

27 (1) A provision of IC 23-19, or of a rule or order issued under
 28 IC 23-19.

29 (2) A violation of IC 35-45-9.

30 (3) A violation of IC 35-47.

31 (4) A violation of IC 35-49-3.

32 (5) Murder (IC 35-42-1-1).

33 (6) Battery as a Class C felony before July 1, 2014, or a Level 5
 34 felony after June 30, 2014 (IC 35-42-2-1).

35 (7) Kidnapping (IC 35-42-3-2).

36 (8) Human and sexual trafficking crimes (IC 35-42-3.5).

37 (9) Child exploitation (IC 35-42-4-4).

38 (10) Robbery (IC 35-42-5-1).

39 (11) Carjacking (IC 35-42-5-2) (before its repeal).

40 (12) Arson (IC 35-43-1-1).

41 (13) Burglary (IC 35-43-2-1).

42 (14) Theft (IC 35-43-4-2).



- 1 (15) Receiving stolen property (IC 35-43-4-2) (before its
2 amendment on July 1, 2018).
- 3 (16) Forgery (IC 35-43-5-2).
- 4 (17) An offense under IC 35-43-5.
- 5 (18) Bribery (IC 35-44.1-1-2).
- 6 (19) Official misconduct (IC 35-44.1-1-1).
- 7 (20) Conflict of interest (IC 35-44.1-1-4).
- 8 (21) Perjury (IC 35-44.1-2-1).
- 9 (22) Obstruction of justice (IC 35-44.1-2-2).
- 10 (23) Intimidation (IC 35-45-2-1).
- 11 (24) Promoting prostitution (IC 35-45-4-4).
- 12 (25) Professional gambling (IC 35-45-5-3).
- 13 (26) Maintaining a professional gambling site (IC
14 35-45-5-3.5(b)).
- 15 (27) Promoting professional gambling (IC 35-45-5-4).
- 16 (28) Dealing in or manufacturing cocaine or a narcotic drug (IC
17 35-48-4-1).
- 18 (29) Dealing in methamphetamine (IC 35-48-4-1.1).
- 19 (30) Manufacturing methamphetamine (IC 35-48-4-1.2).
- 20 (31) Dealing in a schedule I, II, or III controlled substance (IC
21 35-48-4-2).
- 22 (32) Dealing in a schedule IV controlled substance (IC
23 35-48-4-3).
- 24 (33) Dealing in a schedule V controlled substance (IC 35-48-4-4).
- 25 (34) Dealing in marijuana, hash oil, hashish, or salvia (IC
26 35-48-4-10).
- 27 (35) Money laundering (IC 35-45-15-5).
- 28 (36) A violation of IC 35-47.5-5.
- 29 (37) A violation of any of the following:
30 (A) IC 23-14-48-9.
31 (B) IC 30-2-9-7(b).
32 (C) IC 30-2-10-9(b).
33 (D) IC 30-2-13-38(f).
- 34 (38) Practice of law by a person who is not an attorney (IC
35 33-43-2-1).
- 36 (39) An offense listed in IC 35-48-4 involving the manufacture or
37 sale of a synthetic drug (as defined in IC 35-31.5-2-321), a
38 synthetic drug lookalike substance (as defined in
39 IC 35-31.5-2-321.5 (before its repeal on July 1, 2019)) under
40 IC 35-48-4-10.5 (before its repeal on July 1, 2019), a controlled
41 substance analog (as defined in IC 35-48-1.1-8), or a substance
42 represented to be a controlled substance (as described in



IC 35-48-4-4.6).

(40) Dealing in a controlled substance resulting in death (IC 35-42-1-1.5).

(41) Organized retail theft (IC 35-43-4-2.2).

(42) Sale of alcohol without a permit (IC 7.1-5-10-5).

SECTION 9. IC 35-46-1-10.2, AS AMENDED BY P.L.163-2025, SECTION 63, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 10.2. (a) A person may not be charged with a violation under this section and a violation under IC 7.1-7-6-5.

(b) A retail establishment that sells or distributes a tobacco product to a person less than twenty-one (21) years of age commits a Class C infraction. For a sale to take place under this section, the buyer must pay the retail establishment for the tobacco product.

(c) Notwithstanding IC 34-28-5-4(c), a civil judgment for an infraction committed under this section must be imposed as follows:

(1) If the retail establishment at that specific business location has not been issued a citation or summons for a violation of this section in the previous one (1) year, a civil penalty of up to four hundred dollars (\$400).

(2) If the retail establishment at that specific business location has had one (1) citation or summons issued for a violation of this section in the previous one (1) year, a civil penalty of up to eight hundred dollars (\$800).

(3) If the retail establishment at that specific business location has had two (2) citations or summonses issued for a violation of this section in the previous one (1) year, a civil penalty of up to one thousand four hundred dollars (\$1,400).

(4) If the retail establishment at that specific business location has had three (3) or more citations or summonses issued for a violation of this section in the previous one (1) year, a civil penalty of up to two thousand dollars (\$2,000).

A retail establishment may not be issued a citation or summons for a violation of this section more than once every twenty-four (24) hours for each specific business location.

(d) It is not a defense that the person to whom the tobacco product was sold or distributed did not smoke, chew, inhale, or otherwise consume the tobacco product.

(e) The following defenses are available to a retail establishment accused of selling or distributing a tobacco product to a person who is less than twenty-one (21) years of age:

(1) The buyer or recipient produced a driver's license bearing the purchaser's or recipient's photograph showing that the purchaser



or recipient was of legal age to make the purchase.

(2) The buyer or recipient produced a photographic identification card issued under IC 9-24-16-1 or a similar card issued under the laws of another state or the federal government showing that the purchaser or recipient was of legal age to make the purchase.

(3) The appearance of the purchaser or recipient was such that an ordinary prudent person would believe that the purchaser or recipient was not less than thirty (30) years of age.

(f) It is a defense that the accused retail establishment sold or delivered the tobacco product to a person who acted in the ordinary course of employment or a business concerning tobacco products for the following activities:

(1) Agriculture.

(2) Processing.

(3) Transporting.

(4) Wholesaling.

(5) Retailing.

(g) As used in this section, "distribute" means to give a tobacco product to another person as a means of promoting, advertising, or marketing the tobacco product to the general public.

(h) Unless a person buys or receives a tobacco product under the direction of a law enforcement officer as part of an enforcement action, a retail establishment that sells or distributes a tobacco product is not liable for a violation of this section unless the person less than twenty-one (21) years of age who bought or received the tobacco product is issued a citation or summons under section 10.5 of this chapter.

(i) Notwithstanding IC 34-28-5-5(c), civil penalties collected under this section must be deposited in the Richard D. Doyle tobacco education and enforcement fund (IC 7.1-6-2-6).

(j) A person who violates subsection (b) at least ~~six (6)~~ **three (3)** times in any one (1) year commits habitual illegal sale of tobacco, a Class B infraction.

SECTION 10. IC 35-46-1-11.7, AS AMENDED BY P.L.163-2025, SECTION 66, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 11.7. (a) A retail establishment in which tobacco products account for at least eighty-five percent (85%) of the retail establishment's gross sales may not allow an individual who is less than twenty-one (21) years of age to enter the retail establishment.

(b) An individual who is less than twenty-one (21) years of age may not enter a retail establishment described in subsection (a).

(c) A retail establishment described in subsection (a) must



conspicuously post on all entrances to the retail establishment the following:

(1) A sign in boldface type that states "NOTICE: It is unlawful for a person less than 21 years old to enter this store."

(2) A sign printed in letters and numbers at least one-half (1/2) inch high that displays a toll free phone number for assistance to callers in quitting smoking, as determined by the Indiana department of health.

(d) A person who violates this section commits a Class C infraction. Notwithstanding IC 34-28-5-4(c), a civil judgment for an infraction committed under this section must be imposed as follows:

(1) If the person has not been cited for a violation of this section in the previous one (1) year, a civil penalty of up to four hundred dollars (\$400).

(2) If the person has had one (1) violation in the previous one (1) year, a civil penalty of up to eight hundred dollars (\$800).

(3) If the person has had two (2) violations in the previous one (1) year, a civil penalty of up to one thousand four hundred dollars (\$1,400).

(4) If the person has had three (3) or more violations in the previous one (1) year, a civil penalty of up to two thousand dollars (\$2,000).

A person may not be cited more than once every twenty-four (24) hours.

(e) Notwithstanding IC 34-28-5-5(c), civil penalties collected under this section must be deposited in the Richard D. Doyle tobacco education and enforcement fund established under IC 7.1-6-2-6.

(f) A person who violates subsection (a) at least ~~six (6)~~ **three (3)** times in any one (1) year period commits habitual illegal entrance by a minor, a Class B infraction.

SECTION 11. IC 35-46-6-3, AS AMENDED BY P.L.163-2025, SECTION 68, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 3. (a) A person who knowingly or intentionally uses or distributes nitrous oxide with intent to cause a condition of intoxication, euphoria, excitement, exhilaration, stupefaction, or dulling of the senses of another person, unless the nitrous oxide is to be used for medical purposes, commits a Class B misdemeanor. However, the offense is a Class A misdemeanor if the person has a prior unrelated conviction under this section.

(b) Except as provided in subsection (c), a person who knowingly or intentionally sells, uses, or distributes flavored nitrous oxide commits a Class B misdemeanor. However, the offense is a Class A



1 misdemeanor if the person has a prior unrelated conviction under this
2 section.
3 (c) The prohibition on the sale, **use, or distribution** of flavored
4 nitrous oxide in subsection (b) does not apply to:
5 (1) a retail or wholesale restaurant supply company that sells or
6 distributes flavored nitrous oxide to a person for use in food and
7 beverage preparation or other culinary purposes; ~~or~~
8 (2) a person that uses flavored nitrous oxide in food and beverage
9 recipes or for other legitimate culinary purposes; **or**
10 **(3) a law enforcement agency that is disposing of flavored**
11 **nitrous oxide by donation to a nonprofit organization.**

